

Prajakta Vartak

IN THE HIGH COURT OF JUDICATURE AT BOMBAY
ORDINARY ORIGINAL CIVIL JURISDICTION

INTERIM APPLICATION NO. 2400 OF 2026
IN
INCOME TAX APPEAL (L.) NO. 20427 OF 2024

Principal Commissioner of Income Tax 6 Mumbai ...Applicant/Appellant
Vs
NTT India Pvt. Ltd. ...Respondent

Mr. Akhileshwar Sharma for Applicant/Appellant.
Mr. Sagar Syal with Mr. Sameer Dalal for Respondent.

CORAM: G. S. KULKARNI &
Dr. NEELA GOKHALE, JJ.
DATE: 18 SEPTEMBER 2026.

P.C.

1. This interim application is filed praying for condonation of delay of 80 days in filing the appeal under Section 260A of the Income-tax Act, 1961.
2. We have perused the averments as made in the interim application,
3. Mr. Syal, learned counsel for the assessee, has opposed the application. He has fairly stated that the application was served on the respondent two days ago. No affidavit in opposing the interim application is filed, however, only oral submissions are made.
4. We find that the appellant/Revenue has sought condonation of the delay in filing the appeal assailing the order dated 04 September 2023 passed by the Income Tax Appellate Tribunal, Mumbai Bench. The certified copy of the said order was received by the appellant on 14 December 2023. It is stated that the Scrutiny Report was prepared on 26 April 2024, which, according to the assessee,

was itself beyond the prescribed period of limitation. However, we find that the appellant has stated that, although the Scrutiny Report was prepared on 26 April 2024, it was thereafter forwarded to the competent authority and, upon obtaining approval for filing the appeal, the requisite documents were forwarded on 09 May 2024 to the advocate for filing the appeal. The advocate, after discussions with the Assessing Officer, prepared the draft appeal and emailed the same on 19 June 2024.

5. The applicant/appellant contended that some additional time was consumed in preparing the scrutiny report, which consequently delayed the further steps required for finalizing the appeal. It was stated that the period immediately following the financial year, i.e., April to June, requires the preparation of a number of annual reports for submission to the CBDT, and that this process consequently took some time, resulting in a delay in preparing the scrutiny report. It is further contended that the Department is still in the process of adopting the new procedure for mandatory online filing of the proceedings hence, the delay was *bonafide*. It is submitted that the delay ought to be condoned considering that the appellant/ Revenue has a strong case on the merits of the appeal.

6. In support of the aforesaid contention, the applicant/Revenue, in paragraph 14 of the application, has relied upon the decision of the Supreme Court in **Collector Land Acquisition vs Mst. Katiji & Ors.**¹, wherein the Court laid

1 (1987) 2 SCC 107

down the principles to be borne in mind by Courts while considering applications for condonation of delay.

7. Learned counsel for the applicant has also placed reliance on the recent decision of this Court in **The Principal Commissioner of Income Tax International Taxation-3, Mumbai vs. JS Capital LLC²**, wherein the Court referring to the position in law as referred in several decisions in paragraphs 8, 9 and 10 of the said judgment, and made the following observations:-

“8. Also, on reading of the decision in case of Sheo Raj Singh (Deceased) Thr. Lrs. (supra), it is clearly apparent that the Court has taken a review of the entire law referring to the 16 earlier decisions on the point of condonation of delay and the well settled principles in that regard. Paragraphs 16 to 28 of the decision are the precedents which are discussed by the Court. These are the decisions in:

- (i) Collector, Land Acquisition, Anantnag & Anr. vs. Mst. Katiji & Ors. (supra)
- (ii) State of Nagaland vs. Lipok AO & Ors. (supra)
- (iii) Balwant Singh (Dead) vs. Jagdish Singh & Ors.¹⁴
- (iv) Lanka Venkateswarlu (Dead) Thr. Lrs. vs. State of A. P. & Ors.¹⁵
- (v) Office of The Chief Postmaster General vs. Living Media India Ltd. & Anr. (supra)
- (vi) Esha Bhattacharjee vs. Managing Committee of Raghunathpur Nafar Academy & Ors.¹⁶
- (vii) The State of Manipur & Ors. vs. Koting Lamkang¹⁷
- (viii) University of Delhi vs. Union of India & Ors.¹⁸
- (ix) G. Ramegowda, Major & Ors. vs. Special Land Acquisition Officer, Bangalore (supra)
- (x) State of Haryana vs. Chandra Mani & Ors.¹⁹
- (xi) Special Tahsildar, Land Acquisition, Kerala vs. K. V. Ayisumma (supra)

9. In conclusion, the Supreme Court has observed that the decisions reflect that there cannot be any quarrel that the Court has stepped in to ensure

2 Interim Application No. 4263 of 2025, decided on 14.08.2026

that substantive rights of the parties and the State are not defeated at the threshold simply due to technical considerations of delay. Although, the power to condone the delay is a discretionary power, the delay in the said case is of 479 days in presentation of the appeal. The Supreme Court also observed on the approach, the Court would be required to adopt in exercising its discretion. The emphasis has been made that the exercise of discretion by the High Court has to be tested on the anvil of the liberal and justice-oriented approach expounded in the decisions. The Court in condoning the delay made the following significant observations:

“41. Having bestowed serious consideration to the rival contentions, we feel that the High Court's decision to condone the delay on account of the first respondent's inability to present the appeal within time, for the reasons assigned therein, does not suffer from any error warranting interference. As the aforementioned judgments have shown, such an exercise of discretion does, at times, call for a liberal and justice-oriented approach by the courts, where certain leeway could be provided to the State. The hidden forces that are at work in preventing an appeal by the State being presented within the prescribed period of limitation so as not to allow a higher court to pronounce upon the legality and validity of an order of a lower court and thereby secure unholy gains, can hardly be ignored. Impediments in the working of the grand scheme of governmental functions have to be removed by taking a pragmatic view on balancing of the competing interests.”

10. Also, in a recent decision in *Raheem Shah* (supra), the Supreme Court reiterated several principles that what ought to be paramount is to adopt an approach which is justice-oriented rather than a hyper-technical approach and thereby set aside the orders which were passed by the High Court in dealing with the appeal where the delay was not condoned.”

8. The object of limitation rules is not to destroy the substantive rights of the parties but to curb deliberate dilatory strategies. The Courts are not supposed to legalize injustice on technical grounds as it is the duty of the Court to remove injustice. In **Uttar Bhartiya Education Society**³, this Court placing reliance on a decision of the Supreme Court in **H Guruswamy & Ors V A Krishnaiah Since Deceased by LRS**.⁴, has condoned the delay in preferring an appeal under Section 260A of the Income Tax Act. The Supreme Court in **H Guruswamy** (supra) has observed as follows:-

³ Income Tax Appeal (L) No. 20375 of 2026 decided on 3rd July 2026

⁴ Civil Appeal No. 317 of 2025 dated 8.1.2025.

“13. We are at our wits end to understand why the High Court overlooked all the aforesaid aspects. What was the good reason for the High Court to ignore all this? Time and again, the Supreme Court has reminded the District judiciary as well the High courts that the concepts such as "liberal approach", "Justice oriented approach", "substantial justice" should not be employed to frustrate or jettison the substantial law of limitation."

9. Similarly, the Supreme Court in **Inder Singh v State of Madhya Pradesh**⁵, approved a decision of this Court in **N L Abhyankar v Union of India**⁶ wherein it has been observed as under:-

"22.... The real test for sound exercise of discretion by the High Court in this regard is not the physical running of time as such, but the test is whether by reason of delay there is such negligence on the part of the petitioner, so as to infer that he has given up his claim or whether before the petitioner has moved the writ court, the rights of the third parties have come into being which should not be allowed to be disturbed unless there is reasonable explanation for the delay."

10. In the light of the above discussion, although the application has been orally opposed, we are not inclined to accept the opposition, particularly considering that the delay is not intentional, it is *bonafide* as also it is effectively explained. This more particularly, the contentions as urged by the applicant are neither disputed and more particularly, the contentions as urged in paragraph 7 of the memo of the interim application, nor has it been demonstrated that the position adopted by the Revenue is incorrect.

11. In the wake of the above-mentioned authorities and on an overall circumspection of the facts of the matter, we are of the opinion that the appeal

⁵2025 SCC OnLine SC 600

⁶1994 SCC OnLine Bom 574

deserves to be heard and decided on merits. The interim application is accordingly allowed in terms of prayer clause (a).

12. Office objections, if any, be removed within a period of eight weeks from today.

13. Disposed of in the aforesaid terms. No costs.

(DR. NEELA GOKHALE, J.)

(G. S. KULKARNI, J.)